and also advance money in times of need had existed, the great calamity could have been averted. This was what the Maynard Committee had pointed out when it concluded that inexperience and defective machinery apart, the collapse could also be attributed to the lack of policy or remedial measures such as 'Government itself or a quasi-Government institution that is a state-supported Government bank could supply'.[10] It is probable that neither the government nor the Presidency Banks were willing to support or succour financial institutions supported or owned by Indians since they did not want to encourage competition with the European-dominated banks.

It was not that the danger had not been clearly seen by both the public and the government. In a speech delivered in early 1912, the Finance Member lamented certain tendencies in Indian banking: 'Poor and uneducated people are attracted by the word "bank" thinking that it necessarily implies security and stability; and unscrupulous persons accordingly apply the term to speculative business in order to attract investors and depositors.' He then proceeded to explain how even in England they had failed to devise effective safeguards against the abuse of the word 'bank' and concluded that 'the Government of India might well "hesitate to rush in where more experienced legislators fear to tread."'[11] However, his own words of warning do not seem to have made him realize the fact that this automatically enhanced the discretionary or administrative duties of the government. When the crisis broke, whatever meager steps the government took were deemed to be sporadic and exceptional. The official mind could not envisage any responsibility or role in ensuring the day-to-day stability of the banking system. Indeed the official attitude was that if the slew of banking failures taught the Indian investor to be careful enough to distinguish between sound and unsound undertakings then they 'will not have been unfruitful of beneficial result.'[12]

Rumours and Runs: A Resilient Central Bank Survives

In 1913, the Central Bank was only two years old, and like many other banks it too had to face runs fired by panic. Sorabji, who must have grasped the implication of what the Central's failure would mean for the future of Indian banking, made sure that there were adequate funds for the next day's payment. On one occasion he approached a respected businessman who